Chapter 5

Financial Planning and Other Money Matters

IN THIS CHAPTER

» Focusing on financial planning

» Managing your budget

» Planning for college expenses

In this chapter, you take a comprehensive snapshot of your finances and budget with the help of AI. Although much has been written about AI's use and impact on investing (including in the book *AI Investing For Dummies*), investing is really just a portion of the larger world of financial planning. Investing comes together with the other components of your financial world for you to achieve all the financial goals necessary for a good life.

Financial planning is the universe, and investing is just a primary galaxy, so to speak. If you focus on investing success but have flaws or weaknesses in other aspects of your financial situation, then you risk falling short of your ultimate goals.

What good is successful investing if you have significant problems with your career, burdensome debt, or overspending habits?



TIP I realize that financial planning and its associated topics can easily be an entire book. But I hope that you see that virtually every aspect of your financial and business worlds can be impacted for the better when you harness AI.

Walking through the Stages of Financial Planning

Confused about where to start your financial planning? What better way to begin than to ask AI? Here's a sample prompt:

> *"What is the complete financial planning process? Please provide the answer in bullet-point style with a comprehensive explanation of each item and in the person's chronological order of their life."*

ChatGPT's response is in the following text (My added comments are in *italics*.):

- The financial planning process is a structured approach to managing one's finances throughout their life. It typically consists of several stages, from setting financial goals to retirement planning.
- Here's a chronological breakdown of the complete financial planning process with explanations for each stage:
- **Stage 1: Setting Financial Goals (Early Adulthood)**
- **1. Determine Financial Goals:** Identify short-term and long-term financial objectives, such as buying a home, paying off student loans, or saving for retirement.
  Comments: Whatever your activity is, what is the result you want? The studies over the years have shown that college graduates, for example, frequently miss their retirement funding targets. Recent studies show that approximately half of Americans have less than $1,000 in savings and/or are a paycheck away from financial difficulty. Teaching financial literacy, such as determining financial goals (and sticking to them!), should be part of young adults' learning during high school and college years so there are more happy financial endings. Use AI to set goals, your action plan, and so forth.
- **2. Establish a Budget:** Create a budget to track income, expenses, and savings goals. This helps you allocate resources to achieve your goals.
  Comments: If you can't manage your finances (inflow and outflow of your funds), then you will have difficulty managing and growing your investments. You don't

need AI for that conclusion. More about budgeting appears later in this chapter.

Stage 2: Building Financial Foundation (Early Adulthood)

- **3. Emergency Fund:** Build an emergency fund to cover unexpected expenses, typically 3–6 months' worth of living expenses.



REMEMBER *Comments: Before you start investing, address this issue. Having an emergency fund is not only a financial good; it's a psychological good. If, for example, you have $10,000 in a savings account, you will have less stress over your day-to-day finances, which can result in better financial decisions. Who will have a better time avoiding a panicky or hasty financial decision — the person with a solid emergency fund who is regularly paying their daily obligations or the person with no savings who is a paycheck away from difficulty? Use AI to learn tactics and strategies to increase your savings and establish an adequate emergency fund for your particular situation.*

- **4. Debt Management:** Manage and reduce high-interest debts, like credit card balances and student loans.



WARNING *Comments: At the time of writing, debt in all categories (consumer, corporate, government, and so on) is at or near all-time highs. Whether interest rates rise or fall, the debt load is unsustainable. Consumers should make every effort to pare this back before a financial crisis unfolds. Use AI to learn strategies and tactics to manage and ultimately reduce your overall debt (and other liabilities).*

- **5. Insurance:** Acquire appropriate insurance coverage, including health, auto, home, and life insurance, to protect against unexpected events.
  Comments: Too often, investors and consumers don't prioritize insurance. Insurance is there to keep large, unforeseen expenses from blowing up your finances. Examples include the death of the main breadwinner or the disability of a significant job holder in your household. Use AI to analyze your insurance needs and then speak with an insurance pro.

Stage 3: Wealth Accumulation (Mid-Adulthood)

- **6. Investing:** Develop an investment strategy based on risk tolerance and financial goals. Consider assets like stocks, bonds, real estate, and retirement accounts.
- **7. Retirement Planning:** Contribute to retirement accounts, such as 401(k)s and IRAs, to ensure a comfortable retirement. Consider employer matches.
  Comments: This topic is covered in Chapter 6. Obviously, the more you can set aside and keep managing for growth, the better you will be at the retirement finish line. Once there, you will focus on income generation.

- **8. Tax Planning:** Optimize your tax situation by taking advantage of deductions, credits, and tax-efficient investments.
  Comments: In the world of managing cash flow in which money flows in (income and gains) and money flows out (outgo such as debt and expenses), taxes are a major expense. The more you can reduce it, the more funds you can devote to your current and future financial needs.

Stage 4: Major Life Events (Various Life Stages)

- **9. Marriage and Family:** Adjust financial plans for significant life changes, such as getting married, having children, or sending kids to college.
  Comments: Your finances are ultimately there to support your important social goals. Strong finances tend to help bolster your marital bliss and to better your children and other dependents. Use AI to gain insights and learn strategies to support this area. Major life events such as weddings, education (covered later in this chapter), and funerals tend to be expensive, so plan accordingly and long before they become issues.
- **10. Estate Planning:** Create a will, assign beneficiaries, and set up powers of attorney and healthcare directives to manage your assets and healthcare decisions.
  Comments: Estate planning is a necessity, and it can be a complicated one. Use AI to create checklists, understand wills and trusts, and so on. More on this topic is in Chapter 6.

Stage 5: Midlife Adjustments (Midlife)

- **11. Education Funding:** Save for your children's education expenses by utilizing tax-advantaged accounts like 529 plans.
  Comments: Yes, this is a biggie. First, decide whether a traditional college route is the right path. In recent years, the overall return on investment has greatly diminished. More and more folks are seeking college alternatives so they can decrease the massive cost while still enhancing job prospects. I discuss college planning later in this chapter.
- **12. Debt Reduction:** Focus on paying off remaining debts and becoming more debt-free as retirement approaches.
  Comments: See #4 earlier in this list for my thoughts on debt management.

Stage 6: Preparing for Retirement (Late Adulthood)

- **13. Social Security and Pension:** Plan for the utilization of Social Security benefits and any employer pensions to supplement retirement income.
  Comments: I usually tell my retirement planning students and clients to plan their retirement as if Social Security is not happening. Although I am sure that Social Security will be there for you, I am not 100 percent certain. But if you achieve financial independence without it, then getting it is gravy! Use AI to help you understand your Social Security benefits, how to file, and how soon.
- **14. Healthcare Costs:** Consider healthcare costs in retirement and investigate Medicare and supplemental insurance options.

Comments: For retirees, would-be and current, health is both a major physical concern and a financial concern. Use AI to help you figure out health issues, Medicare, and so forth.

- **15. Long-Term Care:** Plan for potential long-term care expenses by exploring insurance options or savings strategies.
  Comments: Same issue as item #14. Explore long-term care and see whether it is a viable consideration for you. Use AI, but it's best to confer with a human specialist.

Stage 7: Retirement (Late Adulthood)

- **16. Asset Allocation:** Adjust your investment portfolio to prioritize income and preservation of capital over growth.
  Comments: Great investing issue! Specialized AI (such as robo-advisors) will help here. The main focus here at this stage of life is safety of principal through conservative, dividend-paying stocks, treasury bonds, bank CDs, and so forth.
- **17. Withdrawal Strategy:** Develop a systematic withdrawal plan for retirement accounts to ensure your savings last through retirement.
  Comments: Here, the issue highlighted is recommended minimum distributions (RMD), among others. You have grown and accrued assets all your working life for a purpose, and that has arrived. Start enjoying your money.
- **18. Estate Distribution:** Review and update estate plans to ensure a smooth transfer of assets to heirs or charitable organizations.
  Comments: This is part of your estate planning strategies. Check out Chapter 6 for more on this.

Stage 8: Legacy Planning (Late Adulthood)

- **19. Charitable Giving:** Plan for charitable contributions and develop strategies for giving back to the community.
  Comments: For those folks who have more than is needed for the tail end of their lives, charitable giving becomes a consideration to help reduce what could become a taxable estate.
- **20. Legacy and Estate Preservation:** Explore options to minimize estate taxes and preserve wealth for future generations.
  Comments: With whatever is left at the end of your life, you should have the decision to give as much of it as possible to whom you want to give it to (family, friends, charities, and so on).

The financial planning process is dynamic, and individuals may revisit these stages as their life circumstances change. Working with a certified financial planner can provide valuable guidance and ensure that financial goals are aligned with the most current strategies and investment options.

Comments: Nice summation!



TIP OK, pilgrim, start your AI engines and get cracking on financial planning. Here are some prompts to consider:

- "What are the legal forms of ownership? Provide an explanation and an example of each." (This is especially crucial in estate planning, which is covered in Chapter 6.)
- "How do I file for Social Security? Please provide a step-by-step approach and then provide ten ways I can boost my benefits."
- "What are ten ways to easily add extra income to my situation in the near future using only my laptop and/or my smartphone? Provide an explanation of each along with resources online that can help me."

Getting a Handle on Budgeting

Budgeting is all about managing financial inflow and outflow. When you budget, you know where the money is coming from, and you know where it's going — every penny (or close enough).



REMEMBER The goal of having a budget is simple:

- Keep increasing your inflow and keep decreasing your outflow.
- Then save and invest the difference. Then, it's rinse and repeat until you meet your financial goals.

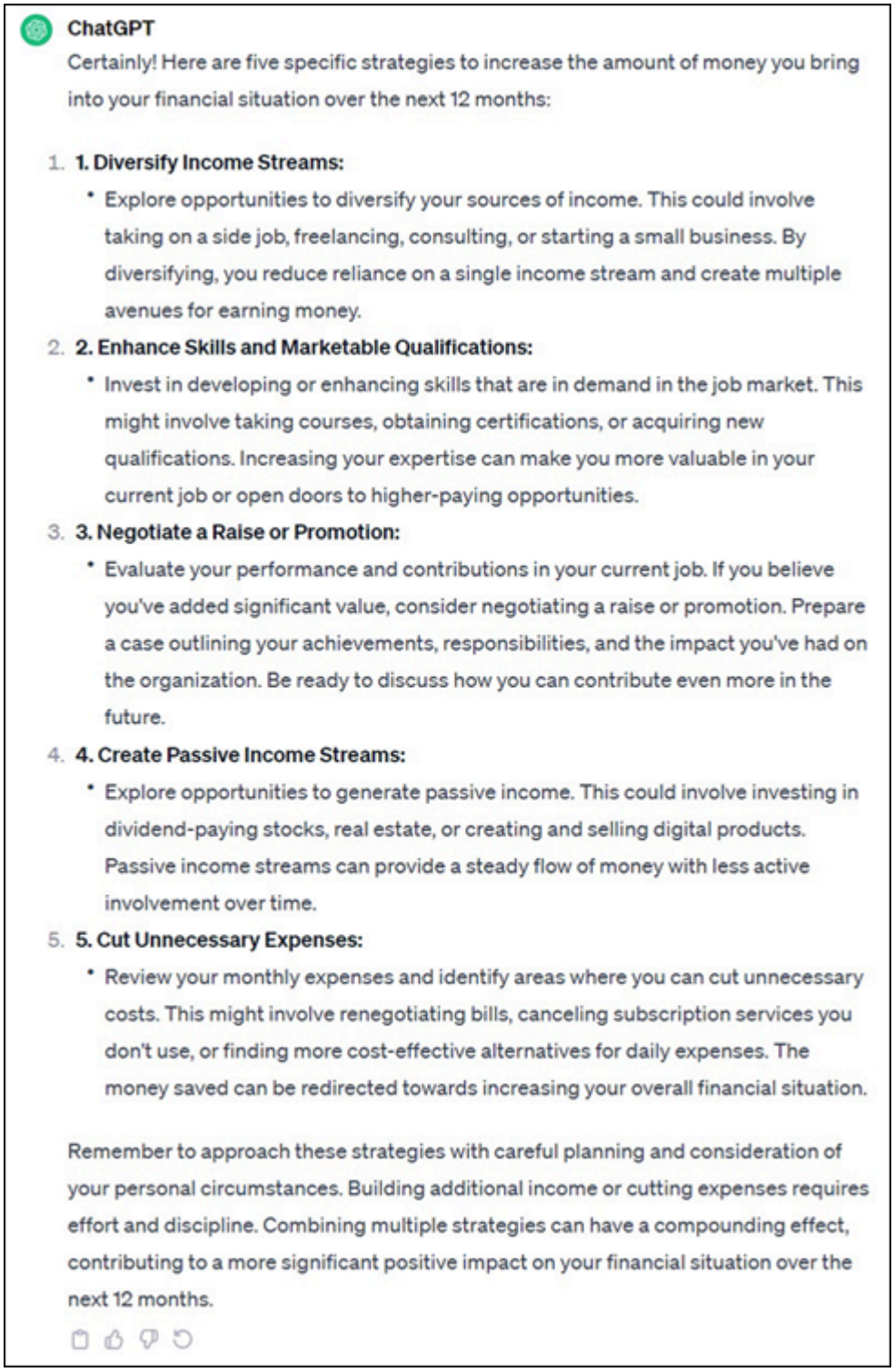
If your financial goals include financial independence and a comfortable lifestyle, then you know what needs to be done.

Let's ask AI about inflow. Check out the following prompt:

> *"Please give me five specific strategies to increase the amount of money I bring into my financial situation for the next 12 months."*

ChatGPT's response is in Figure 5-1. Although I specialized in financial planning and investing education for nearly four decades, I was always an advocate for anyone (everyone!) to have a home-based business in

their spare time. Fast-forward to today's world, and the variety of ways to earn extra income is greater than ever.



ChatGPT

Certainly! Here are five specific strategies to increase the amount of money you bring into your financial situation over the next 12 months:

1. **1. Diversify Income Streams:**
   - Explore opportunities to diversify your sources of income. This could involve taking on a side job, freelancing, consulting, or starting a small business. By diversifying, you reduce reliance on a single income stream and create multiple avenues for earning money.
2. **2. Enhance Skills and Marketable Qualifications:**
   - Invest in developing or enhancing skills that are in demand in the job market. This might involve taking courses, obtaining certifications, or acquiring new qualifications. Increasing your expertise can make you more valuable in your current job or open doors to higher-paying opportunities.
3. **3. Negotiate a Raise or Promotion:**
   - Evaluate your performance and contributions in your current job. If you believe you've added significant value, consider negotiating a raise or promotion. Prepare a case outlining your achievements, responsibilities, and the impact you've had on the organization. Be ready to discuss how you can contribute even more in the future.
4. **4. Create Passive Income Streams:**
   - Explore opportunities to generate passive income. This could involve investing in dividend-paying stocks, real estate, or creating and selling digital products. Passive income streams can provide a steady flow of money with less active involvement over time.
5. **5. Cut Unnecessary Expenses:**
   - Review your monthly expenses and identify areas where you can cut unnecessary costs. This might involve renegotiating bills, canceling subscription services you don't use, or finding more cost-effective alternatives for daily expenses. The money saved can be redirected towards increasing your overall financial situation.

Remember to approach these strategies with careful planning and consideration of your personal circumstances. Building additional income or cutting expenses requires effort and discipline. Combining multiple strategies can have a compounding effect, contributing to a more significant positive impact on your financial situation over the next 12 months.

FIGURE 5-1: Increasing your inflow.



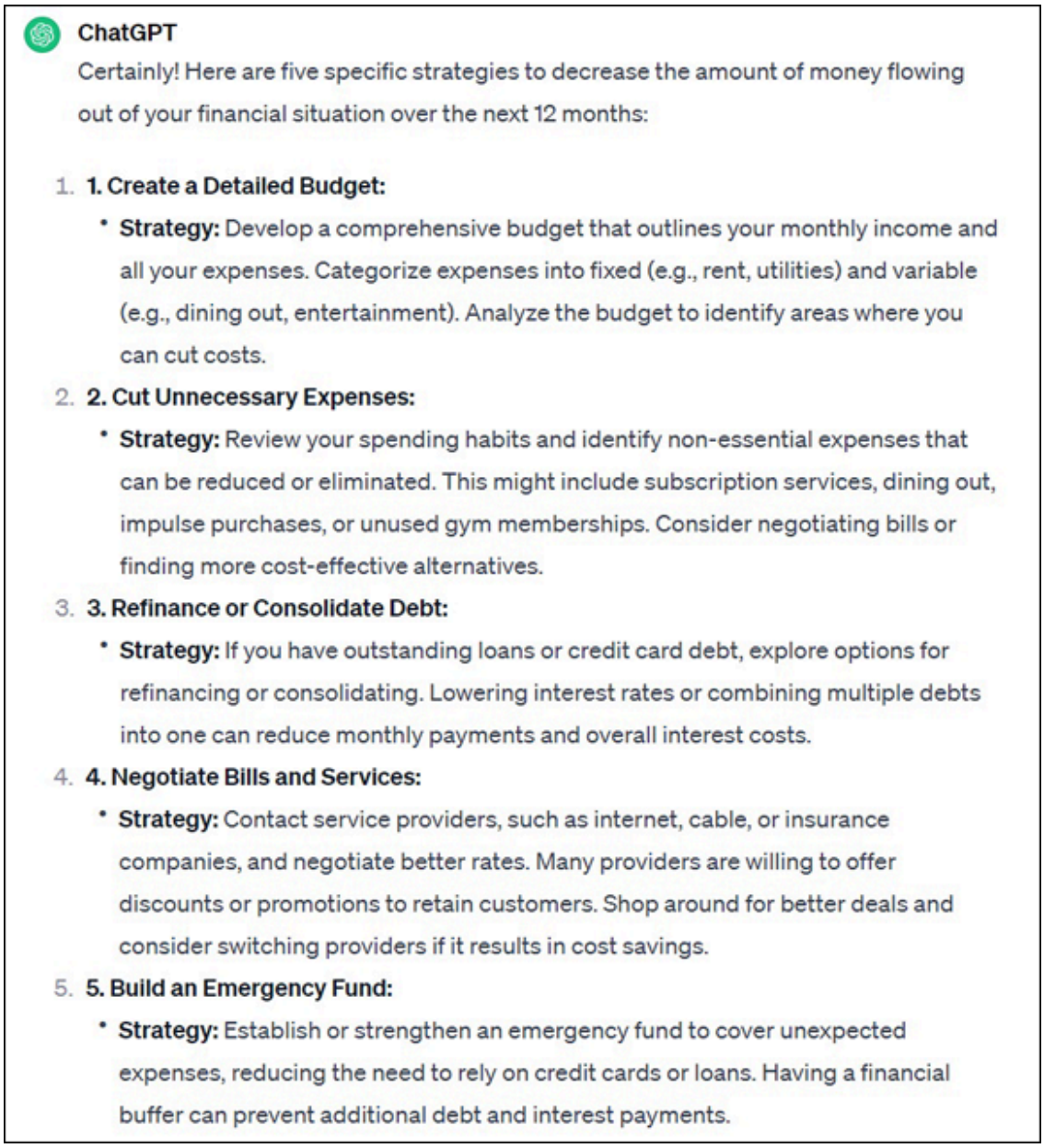
TIP By the way, a good way to start is by listing/selling your unwanted stuff on venues such as eBay and Amazon (and dozens of other

venues). Yes, ask AI lots of questions about home business ideas, part-time gigs, and so forth.

And then you can use AI to get ideas for the outflow. Here's a sample prompt:

> *"Please give me five specific strategies to decrease the amount of money that is flowing out of my financial situation for the next 12 months."*

ChatGPT's response is in Figure 5-2. Reducing your "outflow" should be easier than increasing your "inflow." Too many folks are buying stuff that is simply not needed. Ask yourself whether a given purchase will add psychological or material value to your situation in the coming months. My neighbor, for example, bought an RV. They were likely better off renting it as they needed it — and saving thousands of dollars. In addition, the RV is a depreciating asset that will lose value over time. What are you considering buying now that is better off delayed or done a cheaper way?



ChatGPT

Certainly! Here are five specific strategies to decrease the amount of money flowing out of your financial situation over the next 12 months:

1. **1. Create a Detailed Budget:**
   - **Strategy:** Develop a comprehensive budget that outlines your monthly income and all your expenses. Categorize expenses into fixed (e.g., rent, utilities) and variable (e.g., dining out, entertainment). Analyze the budget to identify areas where you can cut costs.
2. **2. Cut Unnecessary Expenses:**
   - **Strategy:** Review your spending habits and identify non-essential expenses that can be reduced or eliminated. This might include subscription services, dining out, impulse purchases, or unused gym memberships. Consider negotiating bills or finding more cost-effective alternatives.
3. **3. Refinance or Consolidate Debt:**
   - **Strategy:** If you have outstanding loans or credit card debt, explore options for refinancing or consolidating. Lowering interest rates or combining multiple debts into one can reduce monthly payments and overall interest costs.
4. **4. Negotiate Bills and Services:**
   - **Strategy:** Contact service providers, such as internet, cable, or insurance companies, and negotiate better rates. Many providers are willing to offer discounts or promotions to retain customers. Shop around for better deals and consider switching providers if it results in cost savings.
5. **5. Build an Emergency Fund:**
   - **Strategy:** Establish or strengthen an emergency fund to cover unexpected expenses, reducing the need to rely on credit cards or loans. Having a financial buffer can prevent additional debt and interest payments.

FIGURE 5-2: Decreasing your outflow.

Spotlighting College Expenses

The major expenses we typically deal with are usually milestones in our lives: weddings, births (and raising children), college funding, and funerals. AI can certainly give you lots of research, ideas, and so on about all of those. In this section, I focus on one of those — college.

Among that list of major expenses, college is likely #1 given that it's easy to end up spending six-figures on a four-year college education. But as you read this, the college world is facing tectonic shifts, and consumers (parents!) are spending more and more money for less and less educational value.

Obviously, if you're opting for a traditional four-year degree for your child, I wish you success. But before you take this expensive plunge, consider the alternatives since there may be greater satisfaction there for your child (and a lot less cost for you). Here's an example prompt that's food for thought:

> *"Please give me ten practical alternatives to an expensive four-year traditional college degree. Please provide a good rationale for each choice."*

ChatGPT's response is in Figure 5-3. I cover this as a recent phenomenon that has shown that college debt surpassed the $1 trillion mark during 2022–2023, and an extraordinary number of college graduates have taken on jobs that didn't require a college education. I speak for those who personally know many college graduates with huge college debt balances who are working as cashiers and office clerks.

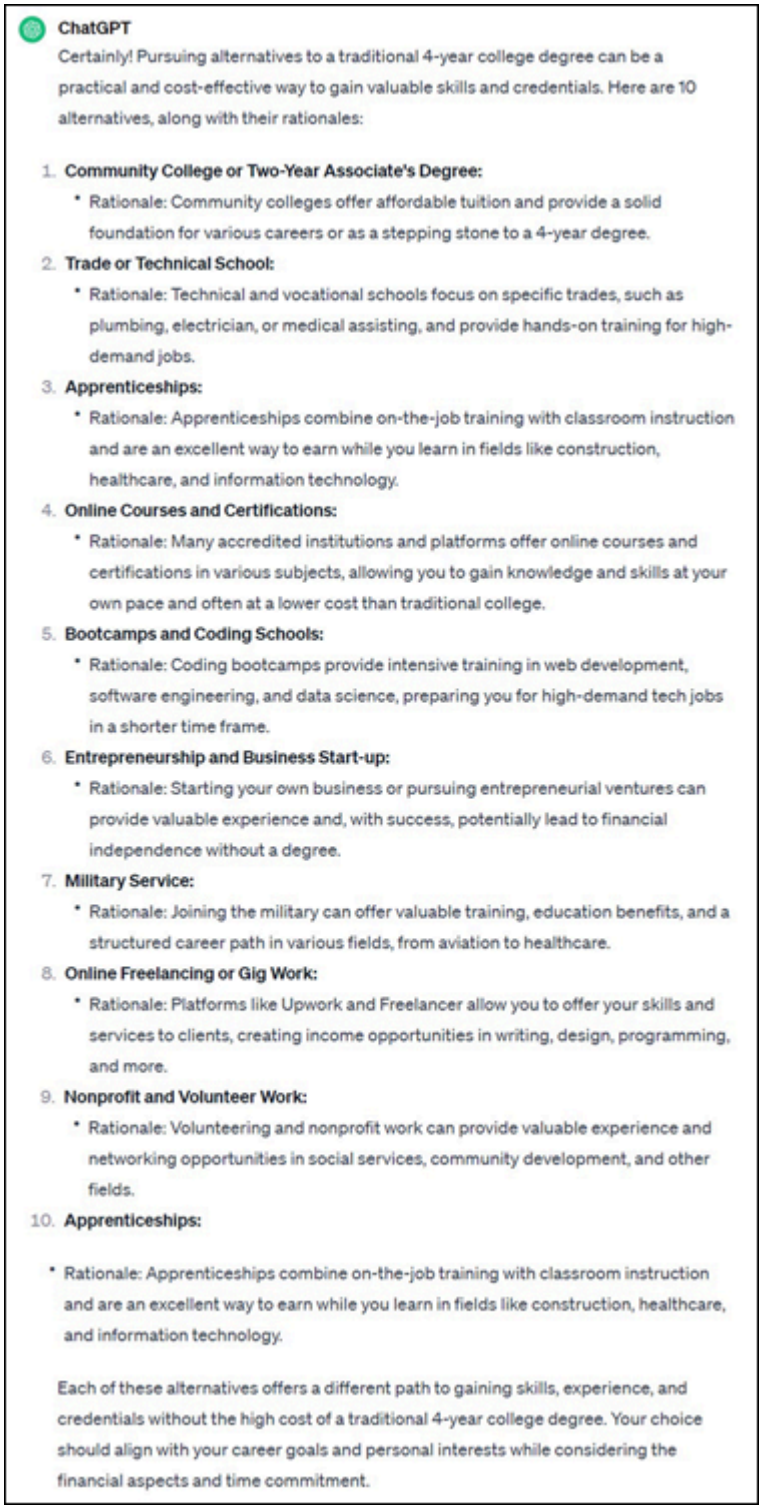


TIP Keep in mind that any huge cost you undertake (college, buying a house, and so on) should be done through the lens of "return on investment" (ROI). Whatever money you put in, you should have reasonable expectations of gaining benefit (financial or otherwise) that is ultimately greater in its totality than the total amount that was invested. Consider using AI to construct a spreadsheet to do the financial pros and cons, cost comparisons, and so forth to make an informed decision. Consider plotting that same spreadsheet with the choices/ideas in Figure 5-3.

Of course, there are still some subjects in which a traditional four-college route is still the best way to go. Examples include engineering and medical careers. Fortunately, the well of college money is still deep, and more students than ever can qualify. Here is a sample prompt on this to get you started:

> *"List seven sources of grants and scholarships to help fund a traditional four-year college education for a student in liberal arts who comes from a middle-income family. Also, include a description and the relevant URL or website."*

If a four-year traditional college can help you gain a lucrative job coupled with career satisfaction, then AI's help has been worth it.



ChatGPT

Certainly! Pursuing alternatives to a traditional 4-year college degree can be a practical and cost-effective way to gain valuable skills and credentials. Here are 10 alternatives, along with their rationales:

1. **Community College or Two-Year Associate's Degree:**
   - Rationale: Community colleges offer affordable tuition and provide a solid foundation for various careers or as a stepping stone to a 4-year degree.
2. **Trade or Technical School:**
   - Rationale: Technical and vocational schools focus on specific trades, such as plumbing, electrician, or medical assisting, and provide hands-on training for high-demand jobs.
3. **Apprenticeships:**
   - Rationale: Apprenticeships combine on-the-job training with classroom instruction and are an excellent way to earn while you learn in fields like construction, healthcare, and information technology.
4. **Online Courses and Certifications:**
   - Rationale: Many accredited institutions and platforms offer online courses and certifications in various subjects, allowing you to gain knowledge and skills at your own pace and often at a lower cost than traditional college.
5. **Bootcamps and Coding Schools:**
   - Rationale: Coding bootcamps provide intensive training in web development, software engineering, and data science, preparing you for high-demand tech jobs in a shorter time frame.
6. **Entrepreneurship and Business Start-up:**
   - Rationale: Starting your own business or pursuing entrepreneurial ventures can provide valuable experience and, with success, potentially lead to financial independence without a degree.
7. **Military Service:**
   - Rationale: Joining the military can offer valuable training, education benefits, and a structured career path in various fields, from aviation to healthcare.
8. **Online Freelancing or Gig Work:**
   - Rationale: Platforms like Upwork and Freelancer allow you to offer your skills and services to clients, creating income opportunities in writing, design, programming, and more.
9. **Nonprofit and Volunteer Work:**
   - Rationale: Volunteering and nonprofit work can provide valuable experience and networking opportunities in social services, community development, and other fields.
10. **Apprenticeships:**

- Rationale: Apprenticeships combine on-the-job training with classroom instruction and are an excellent way to earn while you learn in fields like construction, healthcare, and information technology.

Each of these alternatives offers a different path to gaining skills, experience, and credentials without the high cost of a traditional 4-year college degree. Your choice should align with your career goals and personal interests while considering the financial aspects and time commitment.

FIGURE 5-3: Alternatives to four-year college degrees.